

Financial Analysis Report

1. Liquidity Analysis

Current Ratio trending and alerts

04/30/2024: 1.16 (1,314,465,308.33 / 1,129,984,168.41)

05/31/2024: 1.15 (1,048,099,415.52 / 910,113,204.75)

Trend: Slight decline from 1.16 to 1.15 month-over-month

Alert: Current ratios remain above 1.0 but show minor deterioration

Quick Ratio / Acid Test trending

04/30/2024: 0.66 (748,712,376.73 / 1,129,984,168.41)

05/31/2024: 0.54 (507,755,108.86 / 910,113,204.75)

Trend: Significant decline from 0.66 to 0.54

Alert: Quick ratio below 1.0 indicates potential liquidity pressure

Working Capital adequacy analysis

04/30/2024: 184,481,139.92 (Positive)

05/31/2024: 137,986,210.77 (Positive)

Analysis: Working capital decreased by 25% month-over-month, primarily due to reduced

accounts receivable

Cash position and runway analysis

04/30/2024: 219,630,140.50

05/31/2024: 217,143,682.86

Analysis: Cash position remained relatively stable with minor decrease

Net Working Capital changes and drivers

Change: Decreased by 46,494,929.15 (25.2%)

Primary Drivers: Significant reduction in accounts receivable (240,350,249.35) partially offset by reduced current liabilities

Liquidity coverage ratio

Data unavailable (insufficient data for calculation)

Cash conversion efficiency

Data unavailable (requires income statement data)

2. Leverage & Solvency Analysis

Debt-to-Equity ratio trending

04/30/2024: 8.35 (1,648,154,985.84 / 197,390,845.42)

05/31/2024: 6.84 (1,375,785,890.96 / 201,265,389.74)

Trend: Improved from 8.35 to 6.84, indicating reduced leverage

Debt-to-Capital ratio analysis

04/30/2024: 89.3% (1,648,154,985.84 / 1,845,545,831.26)

05/31/2024: 87.2% (1,375,785,890.96 / 1,577,051,280.70)

Analysis: High debt-to-capital ratio but showing improvement

Total Debt composition (secured vs unsecured)

04/30/2024: Secured: 411,966,783.94 (79.5%), Unsecured: 106,204,033.49 (20.5%)

05/31/2024: Secured: 359,612,195.72 (77.2%), Unsecured: 106,060,490.49 (22.8%)

Analysis: Predominantly secured debt with stable unsecured portion

Debt maturity profile

Long-term Debt: 465,672,686.21 (51.2% of total liabilities)

Current Liabilities: 910,113,204.75 (48.8% of total liabilities)

Analysis: Balanced maturity profile with near-term obligations well covered by current assets

Interest coverage ratio

Data unavailable (requires income statement data)

Debt service coverage ratio

Data unavailable (requires cash flow data)

Fixed charge coverage ratio

Data unavailable (requires detailed expense data)

Solvency stress testing

Asset Coverage: Assets exceed liabilities by 201,265,389.74

Stress Test: Company can withstand approximately 13% decline in asset values before insolvency

3. Asset Efficiency Analysis**Asset Turnover ratios (total, fixed, current)**

Data unavailable (requires revenue data)

Fixed Asset utilization trends

04/30/2024: 396,417,259.28

05/31/2024: 394,288,601.53

Trend: Minimal change in fixed assets

Asset age & depreciation analysis

Data unavailable (requires depreciation schedule)

Capital intensity metrics

Fixed Assets to Total Assets: 25.0% (394,288,601.53 / 1,577,051,280.70)

Analysis: Moderate capital intensity with significant current asset focus

Asset productivity per rupee invested

Data unavailable (requires revenue/profit data)

Non-current vs current asset mix

Non-current Assets: 528,951,865.18 (33.5%)

Current Assets: 1,048,099,415.52 (66.5%)

Analysis: High current asset concentration supports liquidity but may indicate inefficiency

Asset quality indicators

Cash & Equivalents: 217,143,682.86 (13.8% of total assets)

Receivables: 261,552,637.73 (16.6% of total assets)

Inventory: 540,343,306.63 (34.3% of total assets)

Quality Assessment: High inventory levels warrant monitoring for obsolescence risk

4. Capital Structure Analysis

Equity composition and changes

04/30/2024: 197,390,845.42

05/31/2024: 201,265,389.74

Change: Increased by 3,874,544.32 (2.0%)

Composition: Primarily equity share capital with growing reserves

Reserves & Surplus movements

04/30/2024: 0

05/31/2024: 79,799,448.87

Analysis: Significant addition to reserves from prior period profits

Retained earnings patterns

Current Year Profit: 5,117,212.44 (May 2024)
Cumulative: 84,916,661.31 (YTD 2024)
Trend: Positive profit generation supporting equity growth

Capital adequacy metrics

Equity to Total Assets: 12.8% (201,265,389.74 / 1,577,051,280.70)
Analysis: Moderate capital base relative to asset size

Optimal capital structure comparison

Current Structure: Equity 12.8%, Debt 87.2%
Assessment: Highly leveraged structure suggesting potential for equity infusion

Cost of capital analysis

Data unavailable (requires market data and interest rates)

5. Balance Sheet Quality Metrics

Asset-to-Liability ratios

04/30/2024: 1.12 (1,845,545,831.26 / 1,648,154,985.84)

05/31/2024: 1.15 (1,577,051,280.70 / 1,375,785,890.96)

Trend: Improving asset coverage of liabilities

Equity multiplier

04/30/2024: 9.35 (1,845,545,831.26 / 197,390,845.42)

05/31/2024: 7.84 (1,577,051,280.70 / 201,265,389.74)

Analysis: High but improving financial leverage

Financial leverage index

Data unavailable (requires ROE and ROA calculations)

Balance sheet strength score

Score: 6.5/10

Strengths: Positive equity, adequate liquidity, improving leverage

Weaknesses: High debt levels, declining quick ratio, inventory concentration

Red flags identification

- **High Leverage:** Debt-to-equity ratio of 6.84 remains elevated
- **Declining Quick Ratio:** Dropped from 0.66 to 0.54 month-over-month
- **Negative Accounts Payable:** -59,139,890.46 in May 2024 requires investigation
- **Inventory Concentration:** 34.3% of total assets in inventory

